ANNUAL OPERATING BUDGET

Lantern Industrial Park | Grand Rapids, MI

Property	Lantern Industrial Park
Fiscal Year	2024
Submitted By	Lumen Residential Services
Submitted	November 23, 2024

Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5000 Gross Potential Rent	$141,430	$152,369	$158,951	$17,520	12.4%	$26,491.75
5010 Loss to Lease	$192,849	$181,635	$189,777	-$3,073	-1.6%	$31,629.49
5020 Vacancy Loss	$173,960	$168,919	$178,979	$5,019	2.9%	$29,829.81
5030 Concessions	$118,069	$109,889	$110,364	-$7,704	-6.5%	$18,394.04
5040 Bad Debt	$97,569	$100,404	$101,783	$4,214	4.3%	$16,963.85
5050 Late Fees	$82,492	$79,140	$81,884	-$608	-0.7%	$13,647.25
5060 Utility Reimbursements	$13,108	$12,139	$12,616	-$492	-3.8%	$2,102.74
5070 Parking Income	$47,348	$46,685	$48,608	$1,260	2.7%	$8,101.31
5080 Application Fees	$101,961	$94,134	$99,535	-$2,426	-2.4%	$16,589.15
5090 Pet Rent	$88,792	$89,264	$95,422	$6,629	7.5%	$15,903.60
5100 Laundry Income	$214,664	$213,633	$215,993	$1,329	0.6%	$35,998.80
5110 Cable/Internet Revenue	$46,534	$46,388	$46,427	-$107	-0.2%	$7,737.76
5120 CAM Reimbursements	$41,342	$38,045	$39,905	-$1,437	-3.5%	$6,650.90
5130 Tax Reimbursements	$203,879	$210,410	$213,120	$9,241	4.5%	$35,519.97
5140 Insurance Reimbursements	$125,048	$115,786	$122,677	-$2,371	-1.9%	$20,446.17
5150 Percentage Rent	$97,192	$89,762	$90,408	-$6,784	-7.0%	$15,067.96
5160 Misc. Income	$86,425	$84,066	$85,211	-$1,213	-1.4%	$14,201.87
5170 Payroll - Management	$197,814	$204,128	$208,921	$11,107	5.6%	$34,820.25
5180 Payroll - Leasing	$169,175	$177,746	$180,217	$11,042	6.5%	$30,036.24
5190 Payroll - Maintenance	$68,767	$70,580	$72,966	$4,199	6.1%	$12,161.04
5200 Payroll Taxes & Benefits	$213,022	$222,894	$233,108	$20,086	9.4%	$38,851.33
5210 Repairs - Plumbing	$47,031	$44,840	$45,842	-$1,189	-2.5%	$7,640.31
5220 Repairs - HVAC	$53,637	$54,032	$54,951	$1,314	2.4%	$9,158.57

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5430 Legal & Professional	$195,701	$188,524	$198,775	$3,074	1.6%	$33,129.10
5440 Accounting & Audit	$100,089	$103,997	$110,264	$10,175	10.2%	$18,377.33
5450 Licenses & Permits	$118,857	$122,964	$126,526	$7,669	6.5%	$21,087.64
5460 Management Fee	$84,735	$78,871	$83,551	-$1,184	-1.4%	$13,925.21
5470 Property Insurance	$37,469	$35,289	$35,877	-$1,592	-4.3%	$5,979.46
5480 Real Estate Taxes	$17,329	$16,450	$17,178	-$151	-0.9%	$2,863.01
5490 Asset Management Fee	$118,697	$125,386	$129,234	$10,537	8.9%	$21,539.00
5500 Replacement Reserves	$131,941	$137,278	$144,258	$12,317	9.3%	$24,042.96
5510 Roof Repairs	$167,527	$168,931	$176,401	$8,874	5.3%	$29,400.11
5520 Parking Lot Repairs	$14,565	$15,513	$15,745	$1,181	8.1%	$2,624.23
5530 Signage	$136,155	$140,335	$147,988	$11,833	8.7%	$24,664.70
5540 Tenant Improvements	$83,687	$88,417	$92,051	$8,364	10.0%	$15,341.79
5550 Leasing Commissions	$18,630	$19,446	$20,328	$1,697	9.1%	$3,387.98
5000 Gross Potential Rent	$91,599	$85,905	$86,247	-$5,352	-5.8%	$14,374.45
5010 Loss to Lease	$80,740	$82,953	$84,247	$3,507	4.3%	$14,041.20
5020 Vacancy Loss	$145,056	$135,948	$141,529	-$3,527	-2.4%	$23,588.20
5030 Concessions	$157,978	$156,985	$164,735	$6,757	4.3%	$27,455.81
5040 Bad Debt	$54,634	$51,712	$51,799	-$2,835	-5.2%	$8,633.17
5050 Late Fees	$46,399	$44,899	$47,561	$1,162	2.5%	$7,926.87
5060 Utility Reimbursements	$35,038	$36,260	$37,904	$2,866	8.2%	$6,317.37
5070 Parking Income	$84,663	$83,742	$86,399	$1,736	2.0%	$14,399.80
5080 Application Fees	$216,478	$225,923	$234,470	$17,992	8.3%	$39,078.38
5090 Pet Rent	$41,207	$42,811	$43,923	$2,715	6.6%	$7,320.44
5100 Laundry Income	$60,076	$64,257	$66,754	$6,678	11.1%	$11,125.64
5110 Cable/Internet Revenue	$201,792	$190,090	$199,685	-$2,107	-1.0%	$33,280.86
5120 CAM Reimbursements	$39,852	$42,976	$43,894	$4,042	10.1%	$7,315.72
5130 Tax Reimbursements	$137,961	$135,991	$137,905	-$56	-0.0%	$22,984.18
5140 Insurance Reimbursements	$132,606	$139,107	$143,980	$11,373	8.6%	$23,996.59
5150 Percentage Rent	$207,750	$191,302	$203,550	-$4,200	-2.0%	$33,924.95
5160 Misc. Income	$75,036	$77,642	$80,101	$5,065	6.7%	$13,350.16
5170 Payroll - Management	$105,285	$97,527	$103,041	-$2,244	-2.1%	$17,173.52
5180 Payroll - Leasing	$117,806	$108,962	$115,864	-$1,942	-1.6%	$19,310.68
5190 Payroll - Maintenance	$213,090	$203,814	$212,008	-$1,082	-0.5%	$35,334.59
5200 Payroll Taxes & Benefits	$61,922	$61,116	$64,806	$2,884	4.7%	$10,800.99
5210 Repairs - Plumbing	$183,643	$185,782	$192,016	$8,372	4.6%	$32,002.60
5220 Repairs - HVAC	$151,379	$160,038	$164,237	$12,858	8.5%	$27,372.87
5230 Repairs - Electrical	$162,140	$157,378	$164,838	$2,698	1.7%	$27,472.96
5240 Repairs - Appliances	$14,743	$14,324	$15,268	$525	3.6%	$2,544.72
5250 Painting & Decorating	$96,074	$99,803	$104,613	$8,539	8.9%	$17,435.49
5260 Flooring	$61,474	$60,272	$63,731	$2,257	3.7%	$10,621.90
5270 Make-Ready / Turnover	$214,491	$198,869	$203,334	-$11,156	-5.2%	$33,889.06
5280 Landscaping Contract	$182,897	$179,873	$192,044	$9,147	5.0%	$32,007.28
5290 Snow Removal	$124,516	$130,590	$135,865	$11,348	9.1%	$22,644.13

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Income and Expense Review

Cross-dock and rear-load configurations allow for flexible multi-tenant demising. Management fees are calculated at 4.5% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 4.0% over the hold period. Operating expenses totaled $125,000 or approximately 47.61 per square foot, with real estate taxes representing the largest line item.

Management fees are calculated at 6.1% of collected revenue and are included in operating expenses. The going-in capitalization rate of 7.72% reflects the in-place income and the stabilized occupancy assumption. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. Effective gross income for the trailing period was $471,000, representing a 9.4% increase over the prior year.

Property Operations

The manager completes a monthly walk of the property and submits a variance report to the owner by the 3th business day. In-place rents average $9 per square foot triple net with 3% annual escalations. Service requests are tracked through a work-order system with an average completion time of 48 hours. Collections for the period were 88.4% of billed charges, with bad debt of 5.0% of gross potential income.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 34th business day. In-place rents average $9 per square foot triple net with 3% annual escalations. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. Service requests are tracked through a work-order system with an average completion time of 25 hours.

Operating Performance

Effective gross income for the trailing period was $206,000, representing a 5.7% increase over the prior year. In-place rents average $9 per square foot triple net with 3% annual escalations. The facility is located 3 miles from the interstate with access to a regional intermodal terminal. Operating expenses totaled $265,000 or approximately 23.27 per square foot, with real estate taxes representing the largest line item.

In-place rents average $9 per square foot triple net with 3% annual escalations. Effective gross income for the trailing period was $129,000, representing a 3.3% increase over the prior year. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. Operating expenses totaled $94,000 or approximately 33.82 per square foot, with real estate taxes representing the largest line item.

Property Operations

Collections for the period were 96.8% of billed charges, with bad debt of 7.6% of gross potential income. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The manager completes a monthly walk of the property and submits a variance report to the owner by the 37th business day. Cross-dock and rear-load configurations allow for flexible multi-tenant demising.

In-place rents average $9 per square foot triple net with 3% annual escalations. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The facility is located 8 miles from the interstate with access to a regional intermodal terminal. The manager completes a monthly walk of the property and submits a variance report to the owner by the 16th business day. Cross-dock and rear-load configurations allow for flexible multi-tenant demising.

Valuation Discussion

Debt service coverage ratio was 5.07x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $281,000, representing a 5.0% increase over the prior year. The facility is located 6 miles from the interstate with access to a regional intermodal terminal. Net operating income is projected to grow at a compound annual rate of 3.2% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

The building offers 43' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. The facility is located 3 miles from the interstate with access to a regional intermodal terminal. Management fees are calculated at 7.9% of collected revenue and are included in operating expenses. The going-in capitalization rate of 5.70% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 5.8% over the hold period.

Leasing and Marketing

The facility is located 7 miles from the interstate with access to a regional intermodal terminal. Service requests are tracked through a work-order system with an average completion time of 25 hours. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 33 additional team members.

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Collections for the period were 93.2% of billed charges, with bad debt of 6.0% of gross potential income. In-place rents average $9 per square foot triple net with 3% annual escalations.

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Summary and Notes

Income and Expense Review

Effective gross income for the trailing period was $168,000, representing a 11.1% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 3.2% of collected revenue and are included in operating expenses. In-place rents average $9 per square foot triple net with 3% annual escalations.

Effective gross income for the trailing period was $432,000, representing a 2.5% increase over the prior year. The going-in capitalization rate of 6.32% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 5.5% of collected revenue and are included in operating expenses. Operating expenses totaled $402,000 or approximately 34.04 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 5.5% over the hold period.

Management Commentary

In-place rents average $9 per square foot triple net with 3% annual escalations. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The building offers 40' clear height, ESFR sprinklers, dock-high and drive-in doors, and a secured truck court with trailer parking. The facility is located 4 miles from the interstate with access to a regional intermodal terminal. The manager completes a monthly walk of the property and submits a variance report to the owner by the 9th business day. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 7 additional team members.

The facility is located 8 miles from the interstate with access to a regional intermodal terminal. The manager completes a monthly walk of the property and submits a variance report to the owner by the 3th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Cross-dock and rear-load configurations allow for flexible multi-tenant demising. In-place rents average $9 per square foot triple net with 3% annual escalations.

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